EQUITY RESEARCH · INDEPENDENT VALUATION 04 Jul 2026

INDUSTRIALS · DIVERSIFIED MACHINERY

Meridian Industrials (illustrative) DEMO

STANDARD (FCFF-DCF LED)

RATING	FAIR VALUE	PRICE	UPSIDE
NEUTRAL	$182.98	$182.00	+1%

Discount rate 9.22% · data: DEMO (synthetic)

INVESTMENT THESIS

We initiate our independent valuation of **Meridian Industrials (illustrative) (DEMO)** with a **NEUTRAL** stance and a fair value of **$182.98**, +1% against the current $182.00. We frame the company under a standard (fcff-dcf led) approach — the model set that fits how this business actually creates value. The lead method, discounted cash flow (fcff), returns $220.18 (+21%); the target is a probability-weighted blend across 2 methods.

Meridian Industrials (illustrative) generated $85.96bn of revenue at a 29% EBIT margin in the latest fiscal year, having compounded the top line at 8.2% over the historical window. Market capitalisation stands at $276.64bn with $500mn of net cash, and we discount at a 9.2% WACC.

Our base case carries 72% of enterprise value in the terminal value, implying a terminal EV/EBITDA of 9.9x. At maturity the business earns a 52.0% return on invested capital against a 9.2% cost of capital — a positive spread of 4276bps, so incremental growth is value-accretive and deserves a premium multiple.

Reverse-engineering the current price, the market is discounting roughly 5.0% near-term revenue growth versus our 7.5% base assumption — the tape is more conservative than our forecast, which is the crux of the +1% gap to fair value.

Cash-generative operating business: unlevered DCF is the anchor, trading comps and a dividend cross-check corroborate.

KEY DATA

Market cap	**$276.64bn**
Enterprise value	**$276.14bn**
Net debt	**($500mn)**
Net debt / EBITDA	**net cash**
EV / EBITDA (LTM)	**9.5x**
P/E (LTM)	**14.1x**
FCF yield (LTM)	**6.9%**
Dividend yield	**1.3%**
Beta	**1.12**
Diluted shares	**1,520mn**

FINANCIAL SUMMARY & VALUATION

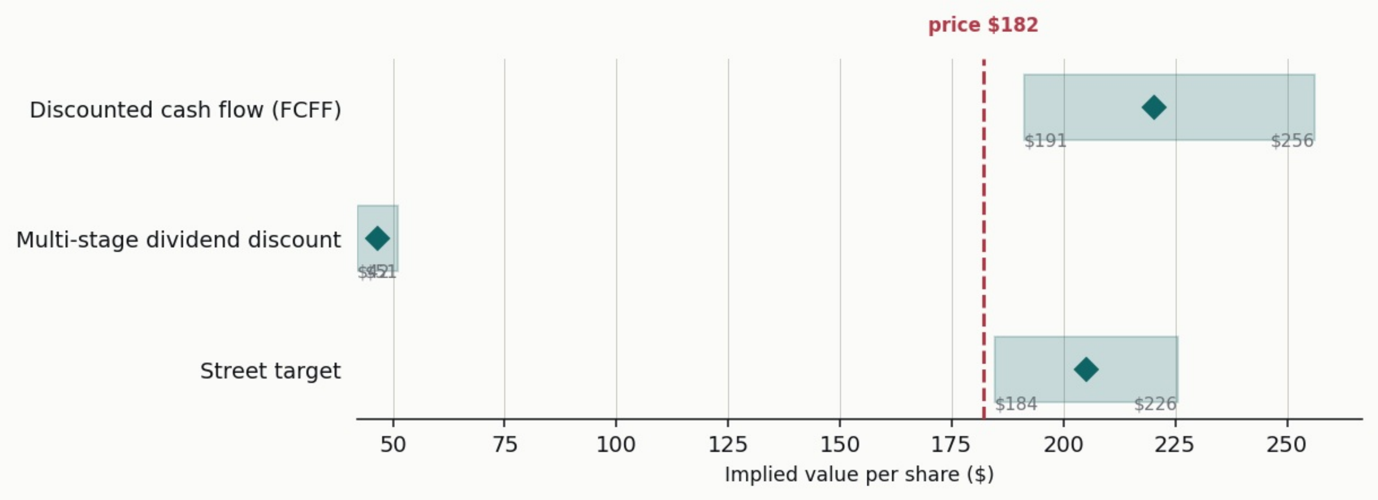
$, PER SHARE WHERE NOTED	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E
Revenue	$81.09bn	$85.96bn	$92.38bn	$98.14bn	$103.03bn	$106.89bn
growth	+8.0%	+6.0%	+7.5%	+6.2%	+5.0%	+3.7%
EBITDA	$26.92bn	$28.97bn	$31.13bn	$32.95bn	$34.47bn	$35.62bn
EBIT margin	28.0%	28.5%	28.5%	28.4%	28.3%	28.1%
EPS	$11.76	$12.87	$13.74	$14.55	$15.22	$15.73
FCFF/share	$11.67	$12.60	$13.58	$14.47	$15.25	$15.88

EV/EBITDA	10.3x	9.5x	8.9x	8.4x	8.0x	7.8x
P/E	15.5x	14.1x	13.2x	12.5x	12.0x	11.6x
FCF yield	6.4%	6.9%	7.5%	8.0%	8.4%	8.7%

Multiples struck at the current price/EV against each year's estimates. Forecast EPS approximates net income as (EBIT − LTM interest) × (1−t).

VALUATION SUMMARY — FOOTBALL FIELD

EXHIBIT 1 · VALUATION FOOTBALL FIELD



METHOD	VALUE / SHARE	UPSIDE	WEIGHT
Discounted cash flow (FCFF)	$220.18	+21%	79%
Multi-stage dividend discount	$46.57	-74%	21%
Street consensus	$205.00	+13%	–
Blended fair value	**$182.98**	**+1%**	

KEY ASSUMPTIONS & RATIONALE

Each forward driver is anchored to history or consensus, sanity-checked for internal consistency, and justified below. These are the levers that move the valuation.

DRIVER	TRAJECTORY	RATIONALE
Revenue growth	7.5% → 2.5% over 5y	Year-1 growth is set from year-1 consensus of 7.0% blended 60/40 with the 5-yr historical CAGR of 8.2%. Growth then decelerates monotonically to the terminal rate as the base compounds toward $110bn — the law of large numbers and competitive entry compress incremental growth.
EBIT margin	28.5% → 28.0% (compresses)	Spot EBIT margin is 28.5% versus a through-cycle average of 27.3%. We revert 40% of the way toward that average, landing at 28.0% by year 5 — crediting some but not all of current profitability as durable, which guards against extrapolating a peak.
Reinvestment (capex)	4.8% of sales	Held at the historical average capex intensity (4.8%), against D&A of 5.2% — a capex/D&A ratio of 0.92x, consistent with a maintenance-led, capital-light steady state.
Working capital	16.5% of Δrevenue	Incremental working capital absorbs 16.5% of each year's revenue increase, the historical median — a cash drag as the business scales.
Tax rate	19.0%	Normalised to the trailing effective rate of 19.0%, applied to EBIT to derive NOPAT.
Terminal growth	2.5%	Set at 2.5%, at or below long-run nominal GDP (4.0%); a mature going concern cannot outgrow the economy in perpetuity. Must stay below the WACC.

COST OF CAPITAL

Risk-free rate (Rf)	4.30%
Equity risk premium (ERP)	4.60%
Country risk premium	0.00%
Beta (reported)	1.12
Size premium	0.00%
Cost of equity (Ke)	9.45%
Pre-tax cost of debt	4.90%
After-tax cost of debt	3.97%
Marginal tax rate	19.0%
Weight of equity	95.8%
Weight of debt	4.2%
Credit assessment	AAA (EBIT/int = 44.5x)
WACC	9.22%

Operative discount rate: **9.22%** (WACC).

Cost of equity via CAPM: Rf + β\u00b7ERP. Marginal tax rate set to trailing effective (19.0%). Cost of debt from a synthetic rating off interest coverage (AAA (EBIT/int = 44.5x)).

FINANCIAL MODEL — HISTORICALS & FORECAST

EXHIBIT 2 · REVENUE & FREE CASH FLOW PROJECTION

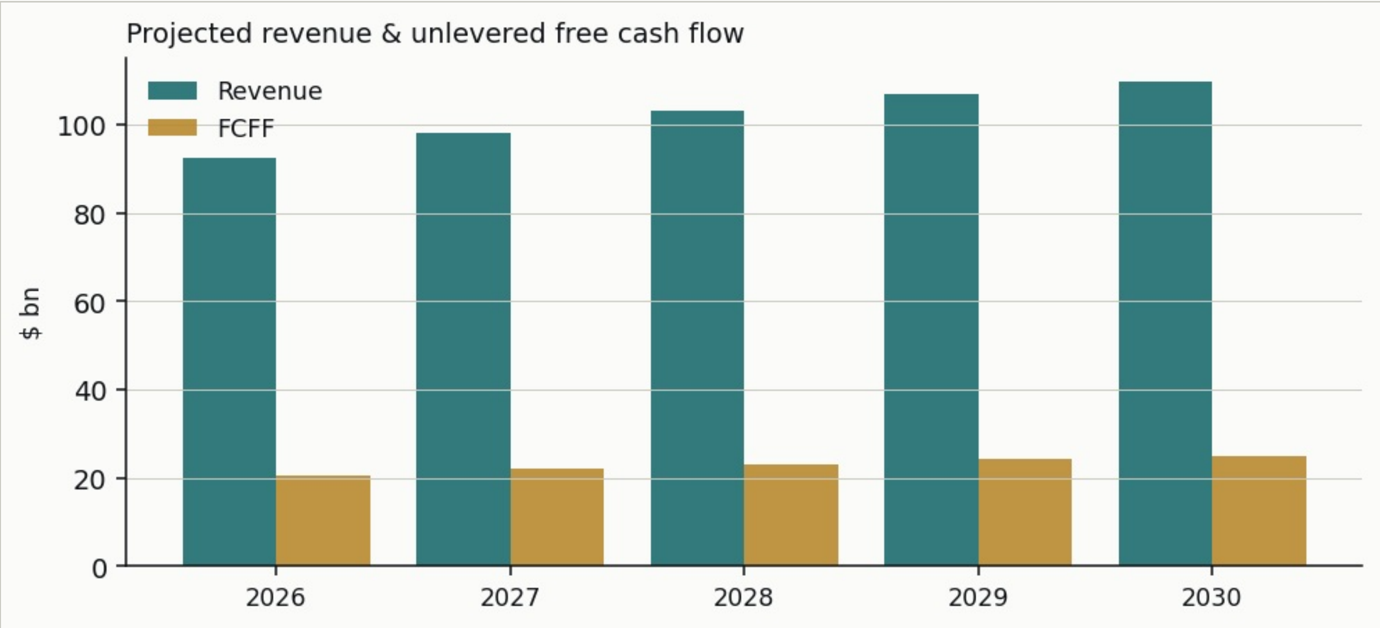
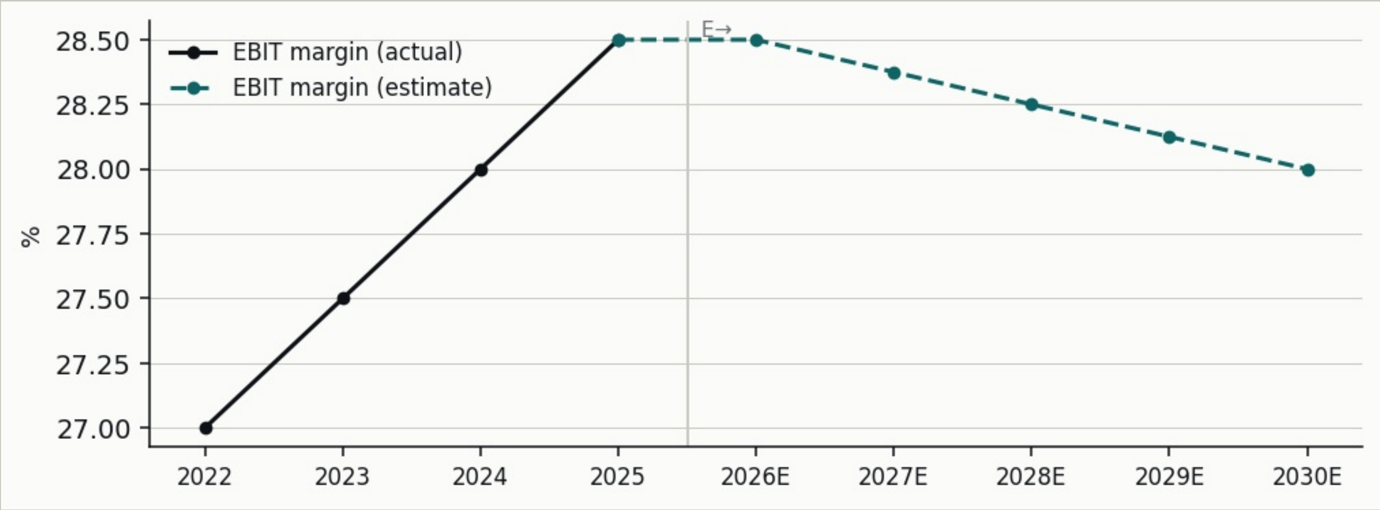


EXHIBIT 3 · MARGIN TRAJECTORY, ACTUAL VS ESTIMATE



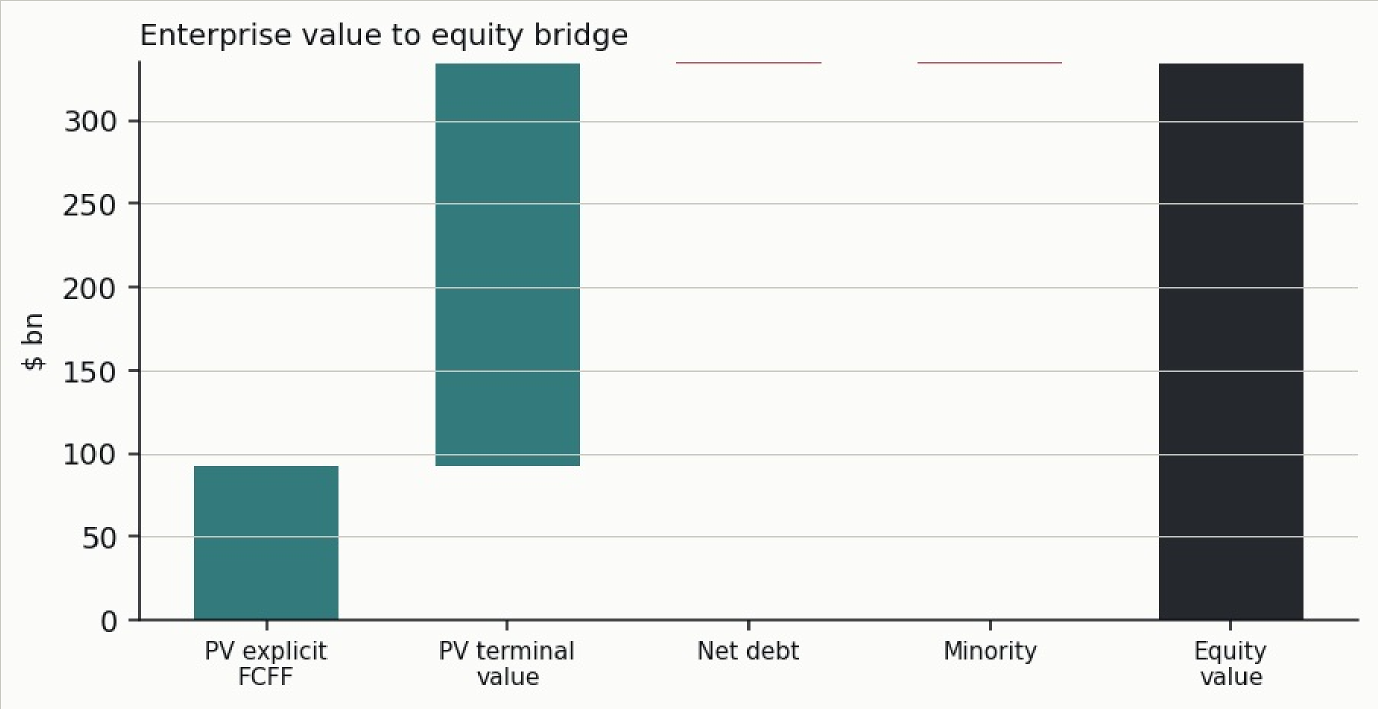
FISCAL YEAR	REVENUE	GROWTH	EBIT	MARGIN	NOPAT	FCFF	FCF CONV.
2022A	$70.17bn	–	$18.95bn	27.0%	$15.35bn	$14.79bn	96%
2023A	$75.09bn	+7.0%	$20.65bn	27.5%	$16.73bn	$16.12bn	96%
2024A	$81.09bn	+8.0%	$22.71bn	28.0%	$18.39bn	$17.74bn	96%
2025A	$85.96bn	+6.0%	$24.50bn	28.5%	$19.84bn	$19.16bn	97%
2026E	$92.38bn	+7.5%	$26.33bn	28.5%	$21.33bn	$20.64bn	97%
2027E	$98.14bn	+6.2%	$27.85bn	28.4%	$22.56bn	$22.00bn	98%
2028E	$103.03bn	+5.0%	$29.11bn	28.3%	$23.58bn	$23.18bn	98%
2029E	$106.89bn	+3.7%	$30.06bn	28.1%	$24.35bn	$24.14bn	99%
2030E	$109.56bn	+2.5%	$30.68bn	28.0%	$24.85bn	$24.85bn	100%

Shaded rows are reported actuals (A); unshaded are our estimates (E). NOPAT = EBIT × (1 − tax); FCFF = NOPAT + D&A − capex − ΔNWC; FCF conversion = FCFF / NOPAT.

Discounted cash flow build

YEAR	FCFF	DISC. FACTOR	PV OF FCFF
2026E	$20.64bn	0.957	$19.75bn
2027E	$22.00bn	0.876	$19.27bn
2028E	$23.18bn	0.802	$18.59bn
2029E	$24.14bn	0.734	$17.73bn
2030E	$24.85bn	0.672	$16.70bn
PV of explicit FCFF			**$92.05bn**

PV of explicit FCFF	**$92.05bn**
PV of terminal value	**$242.42bn**
Enterprise value	**$334.47bn**
− Net debt	**($500mn)**
− Minority interest	**$300mn**
Equity value	**$334.67bn**
Value per share	**$220.18**



RATIO ANALYSIS — LEVERAGE, COVERAGE & RETURNS

METRIC	FY2022A	FY2023A	FY2024A	FY2025A
Net debt / EBITDA	0.1x	0.0x	0.0x	-0.0x
EBIT / interest	34.4x	37.5x	41.3x	44.5x
ROE	47.1%	48.4%	50.3%	51.5%
ROIC (NOPAT/IC)	46.1%	48.2%	50.9%	52.9%
FCF conversion (FCFF/NOPAT)	96%	96%	96%	97%
Capex / D&A	0.92x	0.92x	0.92x	0.92x

TERMINAL VALUE & IMPLIED MULTIPLES

Terminal value (Gordon, g=2.5%)	**$360.58bn**
PV of terminal value	**$242.42bn**
Terminal value as % of EV	**72%**
Implied terminal EV/EBITDA	**9.9x**
Implied terminal P/FCF	**14.2x**

A large terminal value is normal, but it must be defensible. We cross-check the Gordon perpetuity against the exit multiple it implies — if the implied terminal EV/EBITDA sits far above where the stock trades today, the perpetuity growth is doing too much work.

Terminal EV/EBITDA vs today	**9.9x implied vs 9.5x current** OK
Terminal ROIC vs WACC	**52.0% vs 9.2%** OK

RETURNS ANALYSIS — ROIC VS COST OF CAPITAL

Current ROIC	**52.9%**
Terminal ROIC	**52.0%**
Cost of capital (WACC)	**9.2%**
Reinvestment rate (terminal)	**5%**
Implied self-funding growth	**2.5%**

The business earns **52.0%** on incremental capital versus a **9.2%** cost of capital — a positive spread of **4276bps**. Growth therefore creates value and the model rightly capitalises it at a premium to book. The implied self-funding growth of 2.5% (reinvestment 5% × ROIC) frames how much of our terminal growth is organically financed rather than assumed.

WHAT THE MARKET IS PRICING IN

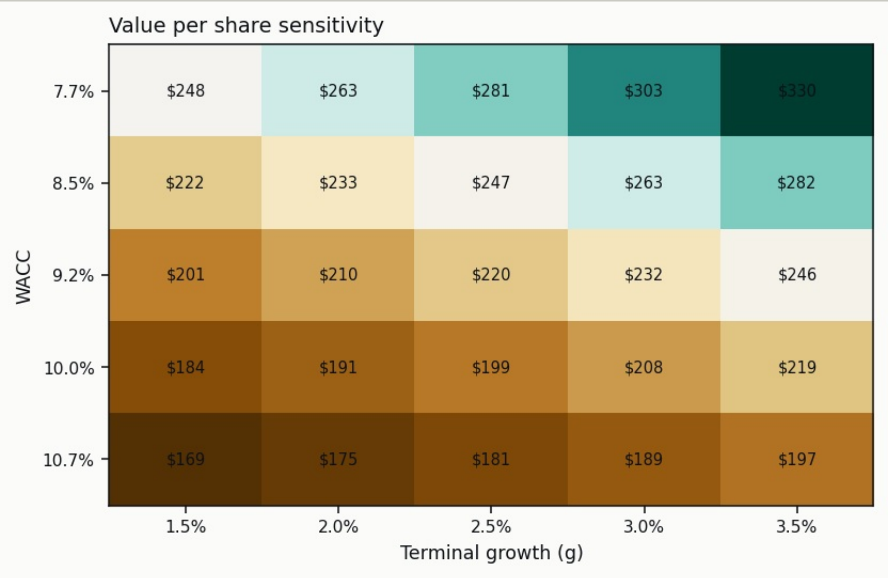
At the current $182.00, a reverse-DCF implies the market is discounting **5.0%** near-term revenue growth and 1.5% in perpetuity.

Our base case assumes 7.5% near-term growth. The market is **more conservative** than our forecast — if the company merely executes to our base plan, the shares re-rate upward.

SCENARIO & SENSITIVITY ANALYSIS

SCENARIO	YR-1 GROWTH	EXIT MARGIN	TERMINAL G	VALUE / SHARE	UPSIDE
Bear	+4%	26%	2.2%	$191.16	+5%
Base	**+7%**	**28%**	**2.5%**	**$220.18**	**+21%**
Bull	+10%	30%	2.8%	$256.17	+41%

EXHIBIT 4 · SENSITIVITY HEAT MAP



MULTI-STAGE DIVIDEND DISCOUNT

Current DPS	**$2.40**
Near-term div growth	**15.0%**
Terminal growth	**2.5%**
Cost of equity (Ke)	**9.45%**
PV of explicit dividends	**$12.45**
PV of terminal value	**$34.12**
Value per share	**$46.57**

Dividends grow from the retention-implied rate and fade to a sustainable terminal growth, discounted at the cost of equity.

YEAR	DPS	GROWTH	PV
2026	$2.76	15.0%	$2.52
2027	$3.09	11.9%	$2.58
2028	$3.36	8.8%	$2.56
2029	$3.55	5.6%	$2.47
2030	$3.64	2.5%	$2.31

FACTOR SENSITIVITY MAP — WHAT MOVES THIS STOCK

Exposure levels are scored from the model and the historicals, with the mechanism spelled out.

TYPE	FACTOR	EXPOSURE	EVIDENCE	WHY / MECHANISM
Macro	**Interest rates / discount rate**	HIGH	75bps of WACC ≈ $24.02/sh (11%); TV = 72% of EV	Long-duration cash flows: the further out the value sits (terminal-heavy), the more a shift in rates or the equity risk premium re-prices the stock, independent of operations.
Macro	**Economic cycle / demand**	LOW	Revenue growth volatility σ = 1.7% over 5y	Historical top-line dispersion is the cleanest read on cyclicality: a stable compounding base decouples from GDP; a volatile one imports the macro cycle into earnings.
Macro	**Inflation / input costs**	MEDIUM	−100bps EBIT margin ≈ −$8.16/sh; margin σ = 0.9%	Cost pass-through is the test: firms with pricing power hold margin through inflation; historical margin volatility shows how much of past cost shocks reached the P&L.
Macro	**Credit & refinancing**	LOW	Net cash position; EBIT/interest = 44.5x	A net-cash balance sheet removes refinancing risk and turns higher rates into interest income rather than a cost.
Micro	**Competitive erosion**	LOW	ROIC−WACC spread = 4,276bps	Excess returns invite entry: the wider the spread, the bigger the prize for competitors — but also the bigger the buffer before growth stops creating value. A thin spread means small competitive slippage flips growth to value destruction.
Micro	**Execution vs expectations**	MEDIUM	Implied y1 growth 5.0% vs base 7.5%	Market expects LESS than our base — upside on delivery. The equity reprices on the gap between delivery and what the tape already discounts, not on absolute results.
Micro	**Capital intensity**	LOW	Capex/D&A = 0.92x; capex = 4.8% of sales	Above 1x, the business must keep buying its own growth — FCF conversion stays hostage to the reinvestment cycle; below 1x, depreciation overstates true capital needs and cash conversion runs ahead of earnings.
Micro	**Pricing power / margin stability**	LOW	EBIT margin σ = 0.9% (range 26%–29%)	Stable margins across cycles are the fingerprint of pricing power; wide swings say the company is a price-taker whose profitability belongs to the environment, not the franchise.

CATALYSTS & WHAT EACH LEVER IS WORTH

- **Cost of capital:** every 75bps of WACC moves fair value by ≈$24.02/share (11%). Rate path and the equity risk premium are the single biggest swing factor.
- **Terminal growth:** 50bps of perpetuity growth is worth ≈$11.09/share — the market's read on the company's long-run competitive position.
- **Operating margin:** each 100bps of EBIT margin across the forecast is worth ≈$8.16/share — watch pricing power, mix and cost discipline in quarterly prints.
- **Top-line delivery:** our base assumes 7.5% year-one growth fading to 2.5%; sustained beats/misses versus that glide path are the cleanest re-rating trigger either way.

KEY RISKS

- Single third-party data source: restatements, non-recurring items or classification differences can shift the output.